Loona Lending Intelligence Knowledge Base v1

Core Philosophy

- Capital Protection First (Survival > Profit)
- Systems Over Emotion
- Sustainability Over Speed

Governance Model

- Loona AI = Advisory Risk Officer
- User = Final Authority
- AI warns but allows override

Risk System

- Dual-layer risk display (Label + Raw Score)
- Dynamic risk threshold based on portfolio health
- Borrower score contextualized with portfolio condition

Portfolio Health Model

- Liquidity (30%)
- Default Rate (25%)
- Late Trend (20%)
- Risk Concentration (15%)
- Growth Stability (10%)

Conservative Bias Rules

- Maintain 20–30% reserve buffer
- Limit single borrower exposure to 20% max

- No aggressive scaling without 3 stable months
- High risk does NOT automatically mean higher interest

Dynamic Optimization

- AI suggests optimal loan size based on risk + portfolio health
- AI suggests optimal interest rate based on repayment probability
- Defensive Mode activates when portfolio health < 60

Override Intelligence

- Logs risk score at approval
- Tracks override decisions
- Measures performance of overridden loans
- Builds Operator Discipline Score

Long-Term Vision

- Predict liquidity stress 30 days ahead
- Risk-adjusted return forecasting
- Worst-case default simulation
- Community intelligence expansion (future)